

MERIDIAN & ASSOCIATES LLP

Engagement Delivery Performance Summary

Fiscal Years 2022 - 2025 | Comprehensive Review

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Prepared By: Business Development & Quality Assurance

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1. Executive Summary

This report provides a comprehensive review of Meridian & Associates LLP's engagement delivery performance across fiscal years 2022 through 2025. The firm has completed 1,089 engagements totaling \$3.2 billion in tracked revenue during this period, with marked improvement across all key delivery metrics including margin realization, on-time delivery, client satisfaction, and quality indicators.

1,247 Total Engagements	1,089 Completed	\$3.2B Revenue Delivered	\$2.6M Avg Engagement Value
29.1% FY25 Actual Margin	0.92 FY25 Realization	71 FY25 Client NPS	94% Client Retention

Key highlights from the four-year review period include: actual margins reaching and exceeding the 29% target in FY2025; realization rate improving from 0.87 to 0.92; client NPS climbing 13 points from 58 to 71; and rework incidents declining by 53%. The firm's investment in delivery methodology, project management tooling, and quality assurance processes has yielded measurable returns.

KEY ACHIEVEMENT

FY2025 marks the first year actual margins (29.1%) exceeded the firm's target margin (29%), driven by improved realization rates and a 45% reduction in write-offs since FY2022.

2. Financial Performance

2.1 Margin & Realization Trends

Metric	FY2022	FY2023	FY2024	FY2025	4-Year Trend
Target Margin	28.0%	28.0%	29.0%	29.0%	Stable
Actual Margin	26.4%	27.1%	28.3%	29.1%	Improving
Margin Gap	-1.6%	-0.9%	-0.7%	+0.1%	Closed
Realization Rate	0.87	0.89	0.91	0.92	Improving
Write-offs (\$M)	\$18.4	\$15.2	\$12.8	\$10.1	Declining
Collections (Days)	42	39	37	35	Improving

2.2 Write-Off Reduction Analysis

Total write-offs declined 45% from \$18.4M in FY2022 to \$10.1M in FY2025. This \$8.3M improvement is attributable to three primary factors: (1) tighter scope definition at engagement inception, (2) automated budget tracking and early warning alerts via the MeridianPM platform, and (3) mandatory quarterly engagement health reviews for all engagements exceeding \$1M in value.

Write-Offs by Service Line (FY2025)

Advisory & Consulting		\$5.2M 51% of total
Audit & Assurance		\$2.4M 24% of total
Multi-Service		\$1.5M 15% of total
Tax Services		\$1.0M 10% of total

2.3 Collections Performance

Days Sales Outstanding (DSO) improved from 42 days to 35 days over the period. The firm now collects 91% of invoiced amounts within 45 days, up from 78% in FY2022. Automated invoicing, milestone-based billing, and dedicated collections support for engagements over \$2M have driven this improvement.

3. Delivery Quality Metrics

3.1 On-Time & On-Budget Performance

Metric	FY2022	FY2023	FY2024	FY2025	Improvement
On-Time Delivery	71%	74%	78%	82%	+11 pts
On-Budget Delivery	65%	68%	72%	76%	+11 pts
Both On-Time & On-Budget	52%	56%	62%	68%	+16 pts
Client NPS (Average)	58	62	67	71	+13 pts
Rework Incidents	47	38	29	22	-53%
Engagement Terminations	8	5	4	2	-75%

3.2 Client NPS Trend by Service Line

Service Line	FY2022	FY2023	FY2024	FY2025	Trend
Multi-Service	65	69	72	74	+9
Tax Services	64	68	71	72	+8
Audit & Assurance	56	60	65	68	+12
Advisory & Consulting	52	57	62	65	+13

3.3 Rework Incident Analysis

Rework incidents -- defined as deliverable revisions requiring more than 40 hours of unplanned effort -- declined from 47 in FY2022 to 22 in FY2025. Advisory & Consulting accounted for 59% of all rework incidents, followed by Multi-Service at 23%. Root causes include scope ambiguity (41%), data quality issues (28%), and staff capability mismatches (18%).

QUALITY MILESTONE

FY2025 engagement terminations dropped to just 2 (from 8 in FY2022), reflecting the impact of proactive engagement health monitoring and early partner intervention.

4. Performance by Service Line

Service Line	Avg Margin	On-Time	On-Budget	NPS	Realization
Tax Services	33.8%	88%	82%	72	0.95
Audit & Assurance	31.2%	85%	78%	68	0.94
Multi-Service	27.3%	74%	69%	74	0.90
Advisory & Consulting	24.6%	71%	65%	65	0.88

4.1 Audit & Assurance

The Audit & Assurance practice delivers the second-highest margins (31.2%) with strong delivery predictability (85% on-time). Key success factors include well-defined regulatory frameworks that constrain scope, mature staffing models, and recurring engagement patterns. The primary risk is first-year audit transitions, which consistently require 18 months rather than the contracted 12 for complex financial institutions.

4.2 Tax Services

Tax Services leads all practice areas in margin (33.8%), on-time delivery (88%), and realization (0.95). The practice benefits from well-defined deliverables, strong repeatability, and high client dependency. Seasonal concentration in Q3/Q4 creates resource pressure but also drives scheduling discipline.

4.3 Advisory & Consulting

Advisory & Consulting, while the largest revenue contributor, has the lowest margins (24.6%) and delivery metrics. This reflects inherent project complexity, scope evolution, and competitive rate pressure. Improvement initiatives include mandatory scope gates at 25%/50%/75% completion, expanded use of the Global Delivery Center for commodity workstreams, and structured change order processes.

4.4 Multi-Service Engagements

Multi-service engagements -- bundling audit, tax, and/or advisory services -- generate the highest NPS (74) but face coordination challenges reflected in lower on-time (74%) and on-budget (69%) scores. The mandatory single program director model, implemented in Q2 FY2025, is expected to improve these metrics significantly.

5. Risk Events & Mitigation

5.1 Top Recurring Risk Patterns

Analysis of engagement post-mortems and quarterly health reviews identifies five recurring risk patterns that account for 78% of budget overruns and delivery delays.

Risk Pattern	Frequency	Avg Budget Impact	Avg Schedule Impact	Service Lines Affected
Scope creep (advisory)	38% of overruns	+22%	+6 weeks	Advisory, Multi-Svc
Data migration gaps	24% of overruns	+35%	+8 weeks	Advisory (ERP)
Client resource delays	18% of overruns	+12%	+4 weeks	Healthcare, Pub Sector
Staff attrition mid-project	12% of overruns	+15%	+3 weeks	All service lines
Regulatory changes	8% of overruns	+18%	+5 weeks	Audit, Tax

5.2 Mitigation Actions Implemented

- Scope creep: Mandatory scope gates at 25%/50%/75% with formal change order for any expansion
- Data migration: 30% contingency buffer now required for legacy systems older than 10 years
- Client resources: Contractual client resource commitments with penalty clauses for delays
- Staff attrition: Engagement-level retention bonuses for critical roles on 12+ month projects
- Regulatory changes: Quarterly regulatory scanning with methodology pivot protocols

5.3 Staff Attrition Impact

Average annual turnover on active engagements is 8%, with peak attrition in the 24-36 month experience band. Advisory & Consulting is most affected (11% attrition) due to project-based staffing and competitive poaching. The firm has implemented engagement-level retention incentives and structured knowledge transfer protocols to mitigate continuity risk.

6. Client Retention & Follow-On Revenue

94%	62%	3.2x	34%
Client Retention Rate	Follow-On Rate	LTV Multiplier	Top 20 Revenue Share

6.1 Retention & Follow-On Trends

Metric	FY2022	FY2023	FY2024	FY2025
Client retention rate	91%	92%	93%	94%
Engagements with follow-on	54%	57%	60%	62%
LTV multiplier (avg)	2.6x	2.8x	3.0x	3.2x
Cross-sell rate	18%	22%	26%	31%
Upsell rate (within engagement)	28%	31%	35%	38%

6.2 Revenue Concentration Analysis

The top 20 clients account for 34% of tracked engagement revenue (\$1.09B of \$3.2B). While this concentration provides revenue stability, it also represents a risk factor. The firm has established a key account program with dedicated relationship partners and annual strategic reviews for the top 50 clients.

Client Tier	# Clients	% of Revenue	Avg LTV	Retention Rate
Tier 1 (Top 20)	20	34%	\$54.5M	98%
Tier 2 (21-50)	30	24%	\$25.6M	96%
Tier 3 (51-100)	50	22%	\$14.1M	94%
Tier 4 (101+)	347	20%	\$1.8M	89%

GROWTH OPPORTUNITY

Cross-sell rate has grown from 18% to 31% over four years. The firm targets 40% by FY2027 through structured account planning and multi-service pursuit incentives.

7. Lessons Learned & Strategic Outlook

7.1 Key Lessons from Engagement Close-Outs

The following lessons are distilled from 1,089 engagement close-out reviews conducted over FY2022-FY2025. Each has been incorporated into the firm's engagement methodology and proposal scoping guidelines.

- 1. Healthcare engagements: Include clinical/domain SME from day 1. Engagements that embedded a clinical subject matter expert from inception had 34% fewer rework incidents and 18% higher NPS scores.
- 2. SAP/ERP data migration: Require 30% contingency for legacy systems older than 10 years. Historical data shows actual migration effort exceeds estimates by 25-40% for legacy environments.
- 3. Public sector procurement: Budget 6-week delay buffer beyond contracted start date. Average actual procurement delay is 6.2 weeks, with some engagements delayed up to 14 weeks.
- 4. Multi-service engagements: Mandate a single program director rather than per-service-line leads. Engagements with unified program leadership score 12 points higher on NPS and are 22% more likely to deliver on budget.
- 5. First-year audit transitions: Plan for 18 months, not 12, for complex financial institutions. Accelerated transitions (12 months) have a 62% probability of budget overrun exceeding 15%.

7.2 FY2026 Delivery Priorities

- 1. Achieve 85% on-time delivery rate across all service lines
- 2. Reduce Advisory & Consulting rework incidents by 30% through scope gate enforcement
- 3. Improve overall realization rate to 0.94 through better estimate calibration
- 4. Expand MeridianPM platform adoption to 100% of engagements over \$500K
- 5. Reduce DSO to 33 days through milestone-based billing automation
- 6. Achieve 96% client retention through proactive key account management

7.3 Performance Outlook

The firm's delivery performance trajectory is strongly positive across all dimensions. Margins have reached target levels, quality metrics are improving consistently, and client satisfaction is at its highest recorded level. The primary areas requiring continued attention are Advisory & Consulting delivery predictability, multi-service coordination, and staff retention on long-duration engagements. With the methodology enhancements and tooling investments underway, the firm is well-positioned to achieve its FY2026 delivery targets.

STRATEGIC OUTLOOK

Engagement delivery performance has improved materially across every tracked metric over four years. Continued investment in project management tooling, quality gates, and staff retention will sustain this trajectory and support the firm's growth ambitions.